EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The LGU was founded in the 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be organized. At present it is composed of twenty-eight (28) barangays and ranked as a 4th class municipality.

With its existing development trends, strategic locations and resources, the Municipality is envisioned to be the center of Agro-Commercial progress in the province and the region as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the Municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good Local Governance- CYs 2016-2017, CY 2019 and CY 2022
b. 2022 Top 3 Best Municipal Integrated Nursery
c. 2022 1st Quarter and 3rd Quarter - Regional Subaybayani Awardee
d. The Seal of Good House Keeping Bronze Category
e. The One of the Best LGU Anti Red Tape Act Implementer
f. The Seal of Good House Keeping Silver Category
g. The Seal of Good Financial House Keeping; and
h. 2017 Top 5 Most Competitive 4th to 6th Class LGU (CMCI)
i. 2018 Top 14 Most Competitive 4th to 6th Class LGU (CMCI)
j. Consistent Seal of Child Friendly LGU
k. Consistent Project PREPARE AWARDEE (Provincial Level)- CY 2016-2018
l. LGU-MHO Purple Ribbon Award- CY 2018 and CY 2019
m. Local Health System Award (Regional Awardee)
n. National Voluntary Blood Services or SANDUGO- (Regional Awardee)
o. Outstanding Performance on Revenue Generation & Resource Mobilization- CY 2018, Having surpassed the target on Business Tax, Fees and Charges, Receipts from Economic Enterprises

Scope of Audit

The audit covered the accounts and operations of the Municipality of Camalaniugan, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
			Amount
Financial Position			
Assets	401,570,732.82	323,013,197.61	78,557,535.21
Liabilities	72,358,337.65	64,302,864.15	8,055,473.50
Govt. Equity	329,212,395.17	258,710,333.46	70,502,061.71
Financial Performance			
Income	167,808,788.43	132,951,132.40	34,857,656.03
Expense	140,331,668.30	119,788,102.28	20,543,566.02
Appropriations, Allotments and Obligation			
Appropriations	168,895,624.84	131,641,637.01	37,253,987.83
Obligations	136,650,158.78	121,867,380.52	14,782,778.26

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2022 due to: (a) unreconciled difference between Accounting and Property records on the Property, Plant and Equipment account amounting to P6,249,103.53; (b) erroneous recording in the liabilities account totaling to P35,405,372.90; and (c) unreliable balances of RPT and SET Receivables accounts amounting to P2,512,052.98.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The balance of the Property, Plant and Equipment totaling to P295,258308.91 as at December 31, 2022 could not be ascertained due to the unreconciled difference between the Property and Accounting Records amounting to P6,249,103.53, contrary to Philippine Public Sector Accounting Standard 17 - Property, Plant and Equipment, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Management:

   a. Exert more effort in tracing the acquisition of the properties presented in the reconciling items in order to establish the cost, existence, ownership and control to those properties; and

   b. Direct the Municipal Accountant to record the necessary adjustments in order to present a fair and reliable balance of the Property, Plant and Equipment in accordance with PPSAS 17.

2. Account balances of Due to NGAs, Due to LGUs and Trust Liabilities totaling to P35,405,372.90 could not be relied upon, thus, affecting the fair presentation of the financial statements, due to the following deficiencies:

   - Unreconciled ending balances appearing in the books due to undocumented and/or non-moving accounts for several years, contrary to Section 111.1 of Presidential Decree No. 1445 and Item 6.3 of the COA Circular No. 94-013 dated December 13, 1994;

   - Receipts from various sources were incorrectly recorded to Due to LGUs account, which should have been recorded to Trust Liabilities account, contrary to Item 5.2 of COA Circular No. 2015-009 dated December 01, 2015; and

   - Unspent balances of Fund Transfers were not returned to the Source Agency or Intra-Agency Fund despite the completion of programs/projects, contrary to Item 6.7 of COA Circular No. 94-013 dated December 13, 1994.

   We recommended that the Municipal Accountant:

   a. Prepare all the necessary adjusting entries to reclassify the affected accounts and to record all financial transactions in accordance with COA Circular No. 2015-009 dated December 01, 2015 to fairly present the financial statements;

   b. Maintain subsidiary records for all funds received from NGAs, LGUs and other sources; and

c. Ensure that all unspent balances of fund transfers for completed projects irrespective of source agency be returned upon completion of the project/purpose.

3. The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable totaling ₱2,512,052.98 as at December 31, 2022 cannot be determined due to: a) incomplete basis and supporting documents to account for the composition thereof; and b) unreconciled records of the Accounting and Treasury Offices, inconsistent with Section 246 of Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.

   We recommended that the Municipal Mayor require:

   a. The Municipal Treasurer to furnish the Municipal Accountant the certified list of taxpayers, with the amount due and collectibles, which would be the basis of the latter, to set-up the RPT/SET receivables at the beginning of the accounting period;

   b. The Municipal Treasurer and the Municipal Accountant to ensure that all due and demandable taxes be accounted properly in their own records and any delinquent accounts be continuously reported in the books, unless subsequently settled; and

   c. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the thirteen (13) audit recommendations in the CY 2021 Annual Audit Report, ten (10) were fully implemented while two (2) were partially implemented and one (1) was not implemented as at year-end.